procedures of the government; the risk of misuse of public money is relatively less.

vii. Guided by Rules and Regulations of the Ministry

The officers of the departmental undertaking are under the supervision of the direct administrative control of the ministry. They are guided by the rules and regulations of the ministry, framed with a focus on public welfare.

Disadvantages

Following are the major limitations of the departmental undertaking.

i. Red-tapism

There is too much of procedures which results in delay. Commercial organisation cannot afford delay in taking decisions.

ii. Incidence of Additional Taxation

Losses incurred by a departmental enterprise are met out of the treasury. This very often necessitates additional taxation the burden of which falls on the common man.

iii. Lack of Competition

Civil Servants are given control of these undertakings who may not have business outlook or commercial experience. So, they run the undertaking in their own fashion without considering the sovereignty of the consumers.

iv. Casual Approach to Work

As officers of a departmental undertaking are subject to frequent transfers; they develop a sense of casual approach to work. As a result, the operational efficiency of the undertaking suffers a lot.

v. Government Interference

There is an excessive government interference and control in department organisation. These undertakings are not given freedom to decide their own policies. Centralised control leads to delay in action. Red-tapism and bureaucracy have become the limiting features of these organisations

vi. Lack of Professional Management and Fear of Criticism

A departmental undertaking is managed by civil servants, who do not possess professional management skills. Moreover, these managers could not afford to be innovative, because of a fear of criticism by the minister or the Parliament.

vii. Financial Dependence

A departmental undertaking is economically and financially dependent on the Government's budgetary allocations. As such, it cannot have its own independent long range investment decisions, which may bring enormous prosperity to the undertaking.

9.03 Meaning and Features of Public Corporation

A public corporation is that form of public enterprise which is created as an autonomous unit, by a special Act of the Parliament or the State Legislature.

Since a public corporation is created by a Statute; it is also known as a statutory corporation.

The Statute defines the objectives, powers and functions of the public corporation. Life Insurance Corporation of India, the Indian

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